TENTATIVE RULINGS

DEPT W15

JUDGE RICHARD Y. LEE

Date: May 21, 2026

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5915. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Do not call the department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling. The Court interprets a party's failure to appear at the hearing as a waiver of oral argument.

Remote Appearances: Department W15 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely*: (1) all counsel and self-represented parties appearing for such hearings **must,** prior to 1:30 p.m. on Thursday, check-in online via the Court's civil video appearance website (link here); and (2) participants will then be prompted to join the courtroom's Zoom hearing session.

Local Rule 375(c): Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (Local Rule 375(c)) Specifically, the video and audio must be turned on and functioning during the hearing; and attorneys are expected to wear appropriate business attire.

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100	1513 Civic Center LLC vs. De Delgado, 25-01496605	Caboraca Investments, Inc.'s Motion to Quash the deposition subpoena that Plaintiff served on JP MORGAN CHASE BANK, N.A., with a production date of October 1, 2025, see ROA 27, came before the Court for a hearing on 04/09/2026. (ROA 82.) In the Court's Minute Order following the hearing, the Court stated the following: "Second, the motions filed by 920 North Grand Ave, LLC and Caboraca Investments, Inc. to quash the deposition subpoena that Plaintiff served on JP MORGAN CHASE BANK,

		N.A., with a production date of October 1, 2025 were not served on the witness (Chase) as required pursuant to Code of Civil Procedure section 1985(g). (ROAs 23 and 27.) As stated above, the motion filed by 920 North Grand Ave, LLC is VACATED. Caboraca Investments, Inc.'s motion, however, is CONTINUED TO May 21, 2026 at 1:30 p.m. "Moving party shall file a proof of service on Chase no later than 16 court days before the continued hearing." (ROA).) As set forth above, the Court ordered that Caboraca Investments, Inc. was to file a proof of service establishing service of its motion to quash the deposition subpoena at issue on Chase no later than 16 court days before the continued hearing. Caboraca Investments, Inc. failed to file this proof of service and therefore has not complied with the statutory notice requirements pursuant to Code of Civil Procedure section 1985(g). As such, the motion to quash is DENIED WITHOUT PREJUDICE. *Moving party to give notice.*
101	Professional Matchmaking, LLC vs. The Standard Agency, Inc, 25-01518363	<u>Motion for Orders</u> Plaintiffs, Professional Matchmaking, LLC ("PM"); Model Quality Introductions, Inc., ("MQI"); and Craig Donaldson ("Donaldson") (collectively, "Plaintiffs") move for orders (1) finding that disputes arising under the October 13, 2023, Asset Purchase Agreement ("APA") are not arbitrable, and (2) staying JAMS Arbitration Case No. 5200002778 involving a dispute arising under Donaldson's Employment Agreement, pending resolution of this action. Plaintiffs contend that Defendant, The Standard Agency, Inc. ("TSA") instituted an arbitration action against Donaldson on October 4, 2025, with JAMS, Case #5200002778, that inappropriately asserts claims that arise under the APA and that are not arbitrable as the APA does not contain an arbitration clause. Plaintiffs assert that only the TSA-Donaldson Employment Agreement contains an arbitration clause, and those

		claims arising thereunder may be arbitrated. Plaintiffs also assert that pursuant to the U.S. Supreme Court's decision in *Coinbase, Inc. v. Suski* (2023) 602 U.S. 143, the court, not an arbitrator, has authority to determine questions of arbitrability. Plaintiffs therefore contend that based on TSA's inability to sustain its burden to prove that disputes under the APA should be arbitrated the Court should issue Orders: (1) finding that disputes arising under the APA are not arbitrable, and (2) staying JAMS Arbitration Case #520000278, although limited disputes arising under the TSA Donaldson Employment Agreement are arbitrable, pending resolution of this action. TSA contends that the relationship between the Plaintiffs and Defendants is governed by three agreements: an APA, an Employment Agreement and a Consulting Agreement. TSA asserts that while the APA contains no dispute resolution clause, the Employment Agreement expressly incorporates the entire APA, such that its arbitration clause requires arbitration of all disputes concerning it. TSA also contends that it has only asserted claims against Donalson in arbitration, and that these claims are all rooted in Donaldson's Employment Agreement and the incorporated APA, such that they thus fall within the scope of the broad arbitration clause and are subject to arbitration. TSA additionally asserts that *Coinbase, Inc. v. Suski* (2024) 602 U.S. 143 does not control and is distinguishable, that Donaldson has not carried his burden to show how this arbitration clause cannot be interpreted to require arbitration of TSA's claims against him, and that Plaintiffs PM and MQI should also have claims involving them heard in arbitration for independent reasons. Lastly, TSA asserts that Plaintiffs offer no support to carry their burden to request a stay of the arbitration and a stay of arbitration would be unwarranted. The first order requested by Plaintiffs involves whether the thirteen claims asserted by TSA in the pending JAMS Arbitration against Donaldson are subject to arbitration. Plaintiffs cite to no authority permitting a motion for a Court to determine that claims

		made in a pending JAMS Arbitration are not arbitrable. Plaintiffs cite to *Coinbase, Inc. v. Susk*i (2023) 602 U.S. 143 ("Coinbase"), as support for the proposition that where parties have two agreements containing different provisions regarding arbitration, the court, not an arbitrator, has authority to determine questions of arbitrability. However, *Coinbase* is distinguishable and inapplicable. In *Coinbase*, the parties executed two contracts where one contract contained an arbitration provision with a delegation clause providing that an arbitrator must decide all disputes under the contract, and the second contract contained a forum selection clause, providing that all disputes related to that contract must be decided in California courts. (*Coinbase, Inc. v. Suski* (2023) 602 U.S. 143, 145.) Under such circumstances, the United States Supreme Court determine that the court decided the arbitrability of a contract-related dispute between the parties. (*Ibid*.) In contrast, here, the APA contains no dispute resolution provision, and only the Employment Agreement contains an arbitration provision. Plaintiffs cite to paragraph 9.9 of the APA which states, "Construction. This Agreement shall be construed and enforced in accordance with, and all questions concerning the construction, validity, interpretation and performance of this Agreement shall be governed by, the laws of the State of California, without giving effect to provisions thereof regarding conflict of laws." (ROA 59, See Ex. 1 to Declaration of James Justice Jr. ("Justice Decl."), APA, at p. 28, ¶ 9.9.) This is not a forum-selection clause akin to the one in *Coinbase*. Code of Civil Procedure sections 1281 and 1281.2 concern petitions or motions to compel arbitration, which is not what Plaintiffs seek. Code of Civil Procedure section 1281 states, "[a] written agreement to submit to arbitration an existing controversy or controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract." Under Code of Civil Procedure section 1281.2, the court may order a

		petitioner and respondent to arbitrate a controversy if the court determines that an agreement to arbitrate the controversy exists and "[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy." (Code Civ. Proc. § 1281.2.) Additionally, the Court notes that Plaintiffs provide that in the arbitration, Donaldson filed a demurrer as to the fourth through thirteenth causes of action in TSA's original arbitration claim, but chose not to further file or litigate any pleadings in that forum after TSA filed a First Amended Arbitration Statement of Claims, pending a ruling in this Court. (Motion, 3:15-16, fn. 2.) Ultimately, Plaintiffs do not provide authority establishing that the Court may grant the relief requested by way of the instant motion for various orders. Based on the foregoing, Plaintiffs' request for an order that certain pending claims in JAMS Arbitration are not arbitrable is DENIED. As to Plaintiff's request for stay of the JAMS Arbitration, Plaintiffs argue in conclusory fashion that the JAMS Arbitration should be stayed pending resolution of the primary, larger dispute in this lawsuit involving the APA. Plaintiffs provide no analysis and reasoned argument or grounds for the requested stay. The court may "'disregard conclusory arguments that are not supported by pertinent legal authority or fail to disclose the reasoning by which [a party] reached the conclusion [he or she] wants [the court] to adopt.'" (United Grand Corp. v. Malibu Hillbillies, LLC (2019) 36 Cal.App.5th 142, 153 citing City of Santa Maria v. Adam (2012) 211 Cal.App.4th 266, 287.) The request for an order staying the JAMS Arbitration is DENIED. *TSA to give notice.* <u>Petition to Compel Arbitration</u> Defendant/Cross-Complainant, The Standard Agency, Inc. ("TSA"), moves for an order compelling Plaintiffs/Cross-Defendants,

		Professional Matchmaking, LLC ("PM"); Model Quality Introductions, Inc., ("MQI"); and Craig Donaldson ("Donaldson") (collectively, "Plaintiffs" and "Cross-Defendants") to arbitrate the first two claims in the Complaint, and all of the claims in TSA's Cross-Complaint. *Plaintiffs' Late Opposition* Initially, TSA objects to Plaintiffs' late-filed and late-served opposition and requests that the Court decline to consider it due to the prejudice it will suffer from having had no opportunity to file a timely reply brief. Code of Civil Procedure section 1290.6 provides that a response to a petition to compel arbitration "shall be served and filed within 10 days after service of the petition except that if the petition is served in the manner provided in paragraph (2) of subdivision (b) of Section 1290.4, the response shall be served and filed within 30 days after service of the petition. The time provided in this section for serving and filing a response may be extended by an agreement in writing between the parties to the court proceeding or, for good cause, by order of the court." (Code Civ. Proc. § 1290.6.) For an ordinary motion, all papers opposing a motion shall be filed and a copy served on each party at least nine court days before the hearing and "shall be served by personal delivery, facsimile transmission, express mail, or other means consistent with Sections 1010, 1011, 1012, and 1013, and reasonably calculated to ensure delivery to the other party or parties not later than the close of the next business day after the time the opposing papers or reply papers, as applicable, are filed." (Code Civ. Proc. § 1005(b)-(c).) While a paper may not be rejected for filing on the ground that it was untimely submitted for filing, the court, in its discretion, may refuse to consider a late filed paper. (California Rules of Court, rule 3.1300(d).) If the court does so, the minutes or order must so indicate. (Ibid.) In determining whether to receive an untimely filed document, "trial courts must consider the specific contexts in

		which such motions arise and should employ a flexible rather than rigid or formalistic approach to decisionmaking." (*Kapitanski v. Von's Grocery Co*. (1983) 146 Cal.App.3d 29, 32-33.) "An attorney's neglect in untimely filing opposing papers must be evaluated in light of the reasonableness of the attorney's conduct. [Citation.]" (Id. at p. 33.) "Also pertinent are the effects of strict enforcement on the rights of the parties and the furtherance of justice. [Citations.]" (*Ibid*.) TSA cites to *Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker* (2016) 2 Cal.App.5th 252, which provides that a trial court has broad discretion to accept or reject late-filed papers. (*Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker* (2016) 2 Cal.App.5th 252, 262.) The Court of Appeal concluded that the trial court did not abuse its discretion by refusing to consider a late-filed opposition papers, noting that the parties "made no attempt to seek leave to file their opposition late, and made no attempt to demonstrate good cause for having failed to adhere to the applicable deadline." (*Ibid*.) Here, even assuming the Court treats the instant petition to compel arbitration as a motion, any opposition was due on May 8, 2026. Plaintiffs late-filed and late-served their opposition to the petition to compel arbitration on May 14, 2026, the day a reply was due. (See ROA 63.) Plaintiffs made no attempt to seek leave to file their opposition late, and made no attempt to show good cause for the late filing. It is also prejudicial to TSA as TSA has had no time to prepare a timely or substantive reply. Under these circumstances, the Court exercises its discretion and disregards Plaintiffs' late opposition. *Merits* TSA contends that the relationship between the parties is governed by three documents: an Asset Purchase Agreement ("APA"), an Employment Agreement, and a Consulting Agreement. TSA asserts that it entered into an Employment Agreement with Donaldson which incorporated the entirety of the APA, and that the Employment Agreement contains an arbitration provision which encompasses

		Plaintiffs' first two causes of action in this action and all seven causes of action asserted in TSA's Cross-Complaint as they concern the Employment Agreement and are rooted in the contractual relationship between the parties and fall within the scope of the arbitration provision such that they are subject to arbitration. TSA also asserts that although PM and MQI are nonsignatories to the arbitration agreements, the agreements may be enforced against them under the doctrines of equitable estoppel and alter ego. Lastly, TSA contends that a stay of this action until conclusion of arbitration is appropriate under 9 U.S.C. § 3. Applicability of the Federal Arbitration Act TSA provides that this petition to compel arbitration is made pursuant to the Federal Arbitration Act ("FAA"), 9 U.S.C. § 2, and Code of Civil Procedure section 1281. The party asserting the Federal Arbitration Act ("FAA") bears the burden to show it applies by presenting evidence establishing the contract with the arbitration provision has a substantial relationship to interstate commerce, and the failure to do so renders the FAA inapplicable. (*Carbajal v. CWPSC, Inc*. (2016) 245 Cal.App.4th 227, 234.) "[T]he United States Supreme Court has identified 'three categories of activity that Congress may regulate under the commerce power: (1) the channels of interstate commerce, (2) the instrumentalities of interstate commerce and persons or things in interstate commerce, and (3) those activities having a substantial relation to interstate commerce.' [Citations.]" (*Ibid*.) TSA does not meet its burden to show that the FAA applies. Therefore, the California Arbitration Act ("CAA") is applied. *Refusal to Arbitrate and Existence of Agreement to Arbitrate* A petition to compel arbitration may be brought under Code of Civil Procedure section 1281.2. (*Spear v. Calif. State Auto Assn*. (1992) 2 Cal.4th 1035, 1041 ("*Spear*").) Under Code of Civil Procedure section 1281.2, the court may order a petitioner and respondent to arbitrate a controversy if the

		court determines that an agreement to arbitrate the controversy exists and "[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy." (Code Civ. Proc. § 1281.2.) "Under this provision, a party to an agreement to arbitrate may not bring an action to compel specific performance of the arbitration provision until he or she can allege not only the existence of the agreement, but also that the opposing party refuses to arbitrate the controversy. Therefore, it appears that a cause of action to compel arbitration does not accrue until one party has refused to arbitrate the controversy. [Citation.]" (*Spear, supra*, 2 Cal.4th at pp. 1041-1042; *see also Mansouri v. Superior Court* (2010) 181 Cal.App.4th 633, 640-641.) "Arbitration can be refused without a formal demand ever having been made." (*Hyundai Amco America, Inc. v. S3H, Inc*. (2014) 232 Cal.App.4th 572, 577.) The filing of a lawsuit rather than commencing arbitration proceedings as required by the agreement affirmatively establishes refusal to arbitrate the controversy. (*Ibid*.) " 'California statutes create a "summary proceeding" for resolving petitions or motions to compel arbitration. [Citation.] "The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." [Citation.]' [Citation.] (*Kader v. Southern California Medical Center, Inc*. (2024) 99 Cal.App.5th 214, 220–221.) " '[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and,

		if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement--either fraud in the execution voiding the agreement, or a statutory defense of waiver or revocation (see § 1281.2, subds. (a), (b))--that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.' " (*Hotels Nevada v. L.A. Pacific Center, Inc*. (2006) 144 Cal. App. 4th 754, 761, *quoting Rosenthal v. Great Western Fin. Securities Corp*. (1996) 14 Cal. 4th 394, 413.) As to refusal to arbitrate, Plaintiffs have filed a Complaint asserting three causes of action. The two causes of action at issue are for breach of the APA and declaratory relief as to express indemnity under the APA. As to refusal to arbitrate TSA's Cross-Complaint, TSA provides that they sent a letter to Plaintiffs' counsel to confer about TSA's proposed Petition, and that Plaintiffs' counsel responded, "and stated that there was not need to confer further about [TSA's] proposed Petition. (ROA 39, Declaration of Sean Lowe ("Lowe Decl."), ¶¶ 2-3.) In addition, Plaintiffs' motion for orders, indicates Plaintiffs' position that no claims under the APA are subject to arbitration. With regards to the existence of an agreement to arbitrate, initially, TSA provides that the APA does not contain a dispute resolution provision. (Petition, 4:15-21.) However, TSA contends that the Employment Agreement and Consulting Agreement both contain arbitration provisions and that the former incorporates the entire APA while the Consulting Agreement incorporated portions of the APA, namely, the Non-Solicitation and Non-Competition provisions. " 'The general rule is that the terms of an extrinsic document may be incorporated by reference in a contract so long as (1) the reference is clear and unequivocal, (2) the reference is called to the attention of the

		other party and he consents thereto, and (3) the terms of the incorporated document are known or easily available to the contracting parties.' [Citations.]" (*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 952 [finding that a dispute resolution section of a license agreement provided sufficient conspicuous notice that it incorporated by reference the Dispute Resolution Policy which contained an arbitration provision].) "It is of no import that the document being incorporated contains an arbitration agreement. [Citations.]" (*Id*. at p. 953.) "A written agreement may, by reference expressly made thereto, incorporate other written agreements; and in the event such incorporation is made, the original agreement and those referred to must be considered and construed as one. [Citation.]" (*Bell v. Rio Grande Oil Co*. (1937) 23 Cal.App.2d 436, 440.) "The phrase 'incorporation by reference' is almost universally understood, both by lawyers and nonlawyers, to mean the inclusion, within a body of a document, of text which, although physically separate from the document, becomes as much a part of the document as if it has been typed in directly." (*Republic Bank v. Marine Nat. Bank* (1996) 45 Cal.App.4th 919, 922.) "A secondary document becomes part of a contract as though recited verbatim when it is incorporated into the contract by reference provided that the terms of the incorporated document are readily available to the other party. [Citation.]" (*King v. Larsen Realty, Inc.* (1981) 121 Cal.App.3d 349, 357 [finding that parties contracted to abide by the bylaws of the Paso Robles Board of Realtors and that Article VII of those bylaws imposed a duty to arbitrate as set forth in the Arbitration Manual which was incorporated therein by reference]; *See Slaught v. Bencomo Roofing Co*. (1994), 25 Cal. App. 4th 744, 750 ["When the terms of the Construction Contract were incorporated by reference, the arbitration terms of the Construction Contract were likewise incorporated"].)

		Here, the evidence shows that TSA and Donaldson entered into the Employment and Consulting Agreements, that Donaldson signed the Employment Agreement on October 30, 2023, and that Donaldson signed the Consulting Agreement on November 1, 2023. (ROA 41, Declaration of James Justice, Jr. ("Justice Decl."), ¶¶ 6-7, Exs. 2 and 3.) Paragraph 8 of the Employment Agreement and Paragraph 8 of the Consulting Agreement, contain identical an arbitration clause which states: "Governing Law; Arbitration; Venue. This Agreement shall be governed by and construed and enforced in accordance with the internal laws of the State of California without regard to principles of conflict of laws. Any action or litigation concerning this Agreement shall be settled by arbitration in accordance with the rules of JAMS. Arbitration shall be the exclusive dispute resolution process and shall be conducted in the County of Orange, State of California. Any party may commence arbitration by sending a written demand for arbitration to the other Parties. Such demand shall set forth the nature of the matter to be resolved by arbitration. The substantive law of the State of California shall be applied by the arbitrator to the resolution of the dispute. The Parties shall share equally all costs of arbitration. The prevailing party shall be entitled to reimbursement of attorney fees, costs, and expenses incurred in connection with the arbitration. All decisions of the arbitrator shall be final, binding, and conclusive on all Parties. Judgment may be entered on any such decision in accordance with applicable law in any court having jurisdiction thereof. The arbitrator (if permitted under applicable law) or such court may issue a writ of execution to enforce the arbitrator's decision." (Ex. 2 to Justice Decl., Employment Agreement, at p. 5, ¶ 8; Ex. 3 to Justice Decl., Consulting Agreement, at p. 4, ¶ 8.) The Employment Agreement states, in part: "WHEREAS, on or about October 30 2023, TSA and Donaldson entered into an Asset

		Purchase Agreement ("APA") that describes TSA's purchase of the Assets and certain Liabilities of Professional Matchmaking, LLC ("PM") and Model Quality Introductions, Inc. ("MQI") (collectively described as the "Business") and scheduling a target November 1, 2023, "Closing Date" for this "Transaction." A true and correct copy of which is attached as Exhibit "A" hereto and incorporated herein by this reference." (Ex. 2 to Justice Decl., Employment Agreement, at p. 1, Recitals.) In addition, Paragraph 6 of the Employment Agreement and Paragraph 6 of the Consulting Agreement contain the same following provision: "Non-Competition / Non-Solicitation. The entirety of APA Article 7, including, but not limited to, the ¶7.2 Non-Compete provision, ¶7.3 Non-Solicitation provision, ¶7.4 Interference with Relationships provision, ¶7.5 Confidential Information provision, is hereby incorporated by reference as if set forth at length." (Ex. 2 to Justice Decl., Employment Agreement, at p. 4, ¶ 6; Ex. 3 to Justice Decl., Consulting Agreement, at p. 4, ¶ 6.) Based the foregoing, the Employment Agreement expressly incorporates the entire APA by reference. In addition, the Employment and Consulting Agreements expressly incorporate the entirety of Article 7 of the APA into those agreements. Plaintiffs have not filed an opposition and do not dispute that the APA was readily available to them. Indeed, pursuant to the terms of the Employment Agreement, a copy of the APA was attached to the Employment Agreement. In addition, it is not disputed that Donaldson executed the APA as a Member and Authorized Officer of PM and as a Shareholder and Authorized Officer of MQI. (See Justice Decl., ¶ 5, Ex. 1, APA, at pp. 30-31.) Accordingly, as the entire APA was expressed incorporated into the Employment Agreement, the APA is part of the "Agreement" referenced in the arbitration provision, and the arbitration provision in the

		Employment Agreement applies to the APA. The arbitration provision broadly encompasses "[a]ny action or litigation concerning this Agreement." With regards to whether Plaintiffs' first cause of action for breach of the APA by filing JAMS arbitration claim and second cause of action for declaratory relief re: express indemnity under APA and to establish duty to defend fall within the scope of the arbitration provision in the Employment Agreement, the first cause of action involves whether TSA breached the APA, including whether the arbitration provision in the Employment Agreement applies to the APA. (Complaint, ¶¶ 25-35.) The second cause of action involves a determination of the rights and duties of the parties in connection with the APA, based on an express indemnity provision in the APA. (Complaint, ¶¶ 39-47.) As the first cause of action involves the Employment Agreement and the APA and the second cause of action involves the APA and the APA was expressly incorporated into the Employment Agreement, these claims concern the "Agreement" and fall within the scope of the arbitration provision. TSA's Cross-Complaint asserts seven causes of action against PM and MQI: (1) Intentional Misrepresentation; (2) Negligent Misrepresentation; (3) Fraudulent Concealment; (4) Conversion; (5) Improper Disposition Of Property; (6) Tortious Interference With Contracts; and (7) Tortious Interference With Prospective Economic Advantage. (See Ex. 1 to Lowe Decl., Cross-Complaint.) The Cross-Complaint alleges that PM and MQI are alter egos of Donaldson and that Donaldson is personally liable for TSA's damages as the alter ego of PM and MQI. (Ex. 1 to Lowe Decl., Cross-Complaint, ¶¶ 23-29, 85, 101, 113, 121, 129, 139, 150.) The first three fraud-based claims involve alleged misrepresentations made by Plaintiffs as to Donaldson's education and qualifications as well as misrepresentations made to induce TSA to purchase the assets of PM and MQI. (Ex. 1 to Lowe Decl., Cross-Complaint, ¶¶ 71-83, 89-100, 105-111.) As such, these claims concern the "Agreement" as they concern the

		Employment Agreement and the APA and fall within the scope of the arbitration provision. The fourth and fifth causes of action in the Cross-Complaint concern theft by the Plaintiffs during Donaldson's employment with TSA. (Ex. 1 to Lowe Decl., Cross-Complaint, ¶¶ 117-119, 124-125.) Therefore, these claims concern the Employment Agreement and fall within the scope of the arbitration provision. The sixth and seventh claims in the Cross-Complaint concern the Plaintiffs' interference with TSA's customers, and prospective customers. (Ex. 1 to Lowe Decl., Cross-Complaint, ¶¶ 132-138, 142-149.) These claims likewise concern the Employment Agreement and APA and therefore fall within the scope of the arbitration provision. Based on the foregoing, TSA establishes the existence of a valid agreement to arbitrate by a preponderance of the evidence, and the arbitration provision encompasses the first two causes of action in Plaintiffs' Complaint and all seven causes of action in TSA's Cross-Complaint. *Enforceability of Arbitration Provisions Against Non-Signatories* TSA provides that PM and MQI are nonsignatories to the arbitration agreements, but that it may enforce the arbitration provision against PM and MQI based on equitable estoppel and Donaldson's alter egos. As a general rule, a party cannot be compelled to arbitrate a dispute that he or she has not agreed to resolve by arbitration. (*Buckner v. Tamarin* (2002) 98 Cal. App. 4th 140, 142; *Benasra v. Marciano* (2001) 92 Cal. App. 4th 987, 990 ["The strong public policy in favor of arbitration does not extend to those who are not parties to an arbitration agreement, and a party cannot be compelled to arbitrate a dispute that he has not agreed to resolve by arbitration"].) " . . . [T]he strong public policy in favor of arbitration does not extend to those who are not parties to an arbitration agreement or

		who have not authorized anyone to act for them in executing such an agreement.' [Citations.] Whether an arbitration agreement is operative against a nonsignatory is determined by the trial court and reviewed de novo. [Citation.]" (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1512.) "[T]here are six theories by which a non-signatory may be bound to arbitrate: '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary.' [Citations.]" (*Id*. at p. 1513.) "When a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. [Citation.]" (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239 [applied to nonsignatory plaintiffs].) " ' "[T]he equitable estoppel doctrine applies when a party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are ' "based on the same facts and are inherently inseparable" ' from arbitrable claims against signatory defendants." ' [Citation.]" (*Rowe v. Exline* (2007) 153 Cal.App.4th 1276, 1287.) "Claims that rely upon, make reference to, or are intertwined with claims under the subject contract are arbitrable. [Citation.]" (*Ibid*.) Here, Plaintiffs' first and second causes of action concern the filing of a JAMS Arbitration claim against Donaldson, and is brought by Donaldson, as well as non-signatories, PM and MQI. Both causes of action rely upon the APA that was incorporated into the Employment Agreement, that contains the arbitration provision. Thus, Plaintiffs are estopped to avoid arbitration on these claims. "Alter ego theory posits that the individual defendants are inseparable from the corporation and in legal effect are the corporation. [Citation.] The corporate form is disregarded and the entity is considered an association of individuals. [Citations.]" (*Rowe, supra*, 153 Cal.App.4th at p. 1284.)

		"In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. [Citations.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.) " 'Among the factors to be considered in applying the doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.' [Citations.]" (*Id*. at pp. 538-539.) "Other factors . . . include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. [Citations.]" (*Id*. at p. 539.) As to TSA's claims in its Cross-Complaint against PM and MQI, TSA alleges that PM and MQI are alter egos of Donaldson, a signatory to multiple arbitration clauses related to this dispute. TSA alleges that a unity of interest and ownership exists between Donaldson, PM, and MQI, that PM and MQI were used by Donaldson to funnel profits to himself or to use in transactions; that PM and MQI are inadequately capitalized such that their capitalization is illusory, that PM and MQI's assets were used by Donaldson for his personal use and caused assets to be transferred, and/or withdrew funds from PM and MQI's bank accounts for improper personal use and/or nonbusiness purposes, and that PM and PQI used the same office address as Donaldson and that all three employed the same employees. (Ex. 1 to Lowe Decl., Cross-Complaint, ¶¶ 25-29.) However, TSA's assertion of the alter ego doctrine relies solely on its allegations in the Cross-Complaint. There is no evidence submitted to support the application of the alter ego doctrine and TSA's alter ego allegations.

		Nevertheless, it appears that Donaldson had the authority to act on behalf of PM and MQI as he executed the APA as a Member and Authorized Officer of PM and as a Shareholder and Authorized Officer of MQI. (See Justice Decl., ¶ 5, Ex. 1, APA, at pp. 30-31.) "A nonsignatory can be compelled to arbitrate when a preexisting relationship existed between the nonsignatory and one of the parties to the arbitration agreement, making it equitable to compel the nonsignatory to arbitrate as well. [Citation.]" (Id. at p. 1240.) "Every California case finding nonsignatories to be bound to arbitrate is based on facts that demonstrate, in one way or another, the signatory's implicit authority to act on behalf of the nonsignatory. [Citations.]" (*Jensen v. U-Haul Co. of California* (2017) 18 Cal.App.5th 295, 304.) Based on the foregoing, the arbitration provision may be enforced against nonsignatories PM and MQI. The Court GRANTS TSA's motion to compel arbitration of the first two causes of action of Plaintiffs' Complaint as well as the entirety of TSA's Cross-Complaint. This action is STAYED pending completion of arbitration. (Code Civ. Proc. § 1281.4.) The Case Management Conference is vacated. The Court sets an ADR Review hearing for December 17, 2026 at 1:30 p.m. in Department W15. *TSA to give notice.* <u>Motion for Declaratory Relief</u> Plaintiffs, Professional Matchmaking, LLC ("PM"); Model Quality Introductions, Inc., ("MQI"); and Craig Donaldson ("Donaldson") (collectively, "Plaintiffs") move for a declaratory relief order (1) finding that Paragraph 8.2.2 of the October 13, 2023, Asset Purchase Agreement ("APA"), contains an enforceable indemnification, defense and reimbursement provision; (2) finding that The Standard Agency, Inc. ("TSA") breached the APA by filing an Arbitration Claim to attempt

		to litigate disputes arising under the APA, when the APA clearly does not contain an Arbitration clause; and (3) requiring TSA to make payments in the grand total of $28,977.50 consisting of $18,950 to Donaldson to reimburse him for payments he made to the Law Office of Brian Ballo, and $10,342.50 to the Law Office of Brian Ballo. In light of the Court's ruling on the TSA's petition to compel arbitration, Plaintiffs' motion for declaratory relief is DENIED as MOOT. Additionally, Plaintiffs appear to seek adjudication of the first two causes of action asserted in their Complaint, and the instant "motion for declaratory relief" is not the proper procedural vehicle to obtain adjudication of a cause of action asserted in their Complaint. Plaintiffs cite to Code of Civil Procedure section 1060 which states: "Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought." (Code Civ. Proc. § 1060.) Section 1060 merely provides that that a party may bring an original action or cross-complaint for a

		declaration of right and duties under a contract, and the court may make a binding declaration, but does not support that a party may bring a "motion for declaratory relief." Based on the foregoing, Plaintiffs' motion for declaratory relief is DENIED. *TSA to give notice.*
102	Samie vs. Marriott International, Inc., 25-01494164	Defendants Apple Eight Hospitality Ownership, Inc. and Apple Eight Hospitality Management, Inc. ("Apple Defendants") demur to the first, fourth, fifth, sixth, seventh, and eighth causes of action of the complaint of plaintiff Hamid Reza Samie ("Plaintiff") and move to strike Plaintiff's claims for punitive damages and attorney fees. *First Cause of Action for Battery* Apple Defendants argue that Plaintiff's allegations that they failed to eradicate the bedbug infestation and ratified employee conduct by not terminating employees responsible for Plaintiff's injuries and not training such employees do not support the conclusion that Apple Defendants touched Plaintiff with intent to harm or offend. They contend that these allegations support, at most, a claim for negligence. "A battery is any intentional, unlawful and harmful contact by one person with the person of another. [Citation.] A harmful contact, intentionally done is the essence of a battery. [Citation.] A contact is 'unlawful' if it is unconsented to." (*Ashcraft v. King* (1991) 228 Cal.App.3d 604, 611.) Here, Plaintiff alleges that Defendants collectively invited Plaintiff to stay as a hotel guest despite having knowledge that there was a bed bug infestation in the hotel. Plaintiff further alleges that Defendants' intentional and reckless actions or inactions caused Plaintiff to be touched by the infestation of bed bugs. Plaintiff does not allege that any employees or agents of Apple Defendants came into contact with Plaintiff themselves. Thus, Plaintiff has not alleged any contact by one person with the person of another and the allegations do not support a

		battery cause of action. The Demurrer to the first cause of action is SUSTAINED with 20 days leave to amend. *Fourth Cause of Action for IIED* Apple Defendants argue that Plaintiff has failed to set forth any facts which indicate the nature or extent of any mental suffering incurred as a result of Apple Defendants' purported conduct. Furthermore, they argue that Plaintiff has failed to provide any facts evidencing that Apple Defendants' actions or omissions were directed specifically at Plaintiff. "The elements of the tort of intentional infliction of emotional distress are: ' " '(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. . . . .' " ' " (*Potter v. Firestone Tire & Rubber Co*. (1993) 6 Cal.4th 965, 1001.) Plaintiff alleges that he has suffered physical and psychological injury as a result of Defendants' breaches, including severe embarrassment, annoyance, discomfort, pain, apprehension, tension, and anxiety. (Compl. ¶¶ 76, 78.) At this stage, these allegations are sufficient to support the element of severe or extreme emotional distress. While Plaintiff does not allege that Apple Defendants' actions were directed specifically at him, an intentional infliction of emotional distress cause of action may be supported by either conduct directed at the plaintiff or which occurs in the presence of a plaintiff of whom the defendant is aware. (Potter, 6 Cal.4th at p. 1002.) Thus, despite the lack of conduct directed at Plaintiff specifically, an IIED claim may arise where Apple Defendants were aware that guests such as Plaintiff would be present at the property. Moreover, as Apple Defendants concede, the question of whether conduct is sufficiently outrageous is ordinarily a question of fact not suitable for resolution by demurrer. Therefore, the

		Demurrer to the fourth cause of action is OVERRULED. *Fifth Cause of Action for Fraudulent Concealment* Apple Defendants argue that Plaintiff lacks the requisite specificity to maintain this cause of action as Plaintiff has not alleged the names of the persons who purportedly made the allegedly fraudulent representations, what their authority is to speak, to whom they spoke, what they said or wrote, and when it was said or written. They further argue that Plaintiff has not alleged the existence of a transaction between them. "The elements of a claim for fraudulent concealment require a plaintiff to show that: '(1) the defendant . . . concealed or suppressed a material fact, (2) the defendant [was] under a duty to disclose the fact to the plaintiff, (3) the defendant . . . intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff [was] unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.' " (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1130.) Plaintiff alleges that Apple Defendants, as the owners, operators, and managers of the hotel, knew about the infestation in the room assigned to Plaintiff, as evidenced by online posts of similar incidents from prior guests and invitees, and failed to warn Plaintiff regarding the dangers of the infestation. (Compl. ¶¶ 99-101.) Plaintiff alleges that the failure to warn is a material misrepresentation by omission by Apple Defendants and was carried out by front desk personnel. (Compl. ¶¶ 101, 105.) These allegations establish the existence of a transaction between Plaintiff and Apple Defendants: hotel patron and guest. Further, while fraud causes of action must be pled with specificity, "[l]ess specificity should be required of fraud claims 'when "it appears from the nature of the allegations that the

		defendant must necessarily possess full information concerning the facts of the controversy," [citation]; "[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party . . . ." ' " (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc*. (2009) 171 Cal.App.4th 1356, 1384.) Here, information regarding the employees working the front desk when Plaintiff checked in lies more within the knowledge of Apple Defendants and the Court therefore finds that the cause of action is sufficiently pled. The Demurrer to the fraud cause of action is OVERRULED. *Sixth Cause of Action and Seventh Cause of Action for Private and Public Nuisance* Apple Defendants argue this cause of action is superfluous because it is based on the same facts as Plaintiff's negligence cause of action. "Where negligence and nuisance causes of action rely on the same facts about lack of due care, the nuisance claim is a negligence claim." (*El Escorial Owners' Assn. v. DLC Plastering, Inc*. (2007) 154 Cal.App.4th 1337, 1349; *see also Van Zyl v. Spiegelberg* (1969) 2 Cal.App.3d 367, 372-373.) Here, Plaintiff's nuisance causes of action are based on the same conduct as alleged in the negligence cause of action—Apple Defendants' failure to advise Plaintiff of the infestation and negligence in allowing unsanitary and uninhabitable conditions to exist at the property. Thus, Plaintiff's nuisance causes of action are "merely a clone of the [negligence] cause of action using a different label." (El Escorial, 154 Cal.App.4th at p.1349.) However, Apple Defendants cite no authority showing that a demurrer should be sustained when a nuisance cause of action is duplicative of a negligence cause of action. Thus, the Demurrer to the sixth and seventh causes of action is OVERRULED. (See *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890 [a cause of action being duplicative "is not a ground on which a demurrer may be sustained"].)

		Eighth Cause of Action for Breach of Contract Apple Defendants argue that Complaint does not quote any terms of the purported contract upon which recovery is sought nor does it attach a copy or incorporate it by reference. "A cause of action for breach of contract requires pleading of a contract, plaintiff's performance or excuse for failure to perform, defendant's breach and damage to plaintiff resulting therefrom." (*McKell v. Washington Mut., Inc.* (2006) 142 Cal.App.4th 1457, 1489.) The "failure to attach or to set out verbatim the terms of the contract [is] not fatal to [a] breach of contract cause of action." (*Miles v. Deutsche Bank Nat'l Trust Co*. (2015) 236 Cal.App.4th 394, 402.) Rather, " 'a plaintiff may plead the legal effect of the contract rather than its precise language.' " (*Ibid., citing Construction Protective Services, Inc. v. TIG Specialty Ins. Co*. (2002) 29 Cal.4th 189, 199.) Plaintiff alleges that he entered into a written contract for the rent of his hotel room with Defendants and paid the rental price of the room. (Compl. ¶¶ 137-138.) He further alleges that Defendants breached the contract by failing to provide a habitable room for lodging. (Compl. ¶ 140.) Plaintiff has alleged the existence of a written contract and the failure to attach a copy or set forth the terms verbatim is not fatal. He has alleged the legal effect of that contract and facts showing breach. Thus, the Demurrer to the eighth cause of action is OVERRULED. *Uncertainty* Apple Defendants argue the causes of action are fatally vague and uncertain. Demurrers for uncertainty "are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*Lickiss v. Fin. Indus. Regulatory Auth.* (2012) 208 Cal.App.4th 1125, 1135.) The Court finds that the Complaint is not incomprehensible and the allegations are such that Apple Defendants can reasonably respond. Thus, the Demurrer based on uncertainty is OVERRULED.

		<u>Motion to Strike</u> Apple Defendants argue the punitive damages claim should be stricken due to lack of specificity. Because the Court has held that the fraudulent concealment cause of action is allowed to stand, the Motion to Strike punitive damages is DENIED. However, Apple Defendants are correct that Plaintiff has not identified any basis for his claim for attorney fees and Plaintiff has not addressed this deficiency in his opposition. Thus, the Motion to Strike the claim for attorney fees is GRANTED with 20 days leave to amend. The Case Management Conference is continued to August 13, 2026 at 1:30 p.m. *Moving party to give notice.*
103	Andrews vs. Thompson, 23-01211689	*Off-calendar.*
104	Lee vs. Kingsbury, 25-01472404	*Off-calendar.*
105	Simmons vs. Alter Domus, Inc., 24-01445636	<u>Motion to Compel Deposition</u> Defendants Alter Domus, Inc. and Chris San (collectively "Defendants") move the Court for an order compelling Plaintiff Nancy Simmons ("Simmons" or "Plaintiff") to attend an oral deposition. Defendants seek an order awarding monetary sanctions against Plaintiff in the total amount of $10,272.05 for attorneys' fees and costs (including costs of court reporters). Here, Plaintiff admits that her deposition has been scheduled three times and she has not appeared. However, she asks for leniency due to family circumstances involving becoming the caretaker of her son who was in an accident. To that end, lead counsel to appear to meet and confer as to available dates for Plaintiff's deposition. Plaintiff to pay $2,001.05 for the Court Reporter's costs.

		To the extent Plaintiff fails to appear for her agreed upon deposition date, the Court reserves the right to impose the remaining $8,200 in requested attorney's fees. The Court orders the deposition to occur within the next 30 days and the sanctions for the Court Reporter's costs to be paid within the next 30 days. If the deposition does not occur on a mutually agreeable date, moving parties are granted leave to re-file a motion for sanctions seeking the remaining $8,200 at issue here. <u>Other Discovery Motions</u> Defendants Alter Domus, Inc. and Chris San (collectively "Defendants") move the Court for an order compelling Plaintiff Nancy Simmons to respond to the following Defendants Requests for Production, Set One ("RFPs"), without objection. Defendants seek an order awarding monetary sanctions against Plaintiff in the amount of $5,449. Defendants Alter Domus, Inc. and Chris San move the Court for an order compelling Plaintiff Nancy Simmons to respond to the following interrogatories propounded by Defendants, without objection: 1. Special Interrogatories, Set One. Defendants seek an order awarding monetary sanctions against Plaintiff in the amount of $5,295. Defendants Alter Domus, Inc. and Chris San move the Court for an order compelling Plaintiff Nancy Simmons to respond to the following form interrogatories propounded by Defendants, without objection: 1. 2. Form Interrogatories - Employment, Set One; Form Interrogatories - General, Set One. Defendants seek an order awarding monetary sanctions against Plaintiff in the amount of $4,534. It appears the Motions are moot. Plaintiff declares under penalty of perjury, that, "Concurrent with the filing of this opposition, I have worked with my counsel to prepare and verify complete responses to" the discovery at issue herein, "without objections". (See Declaration(s) of Plaintiff Simmons.)

		The only remaining issue is sanctions. Here, the imposition of over $14,000 in discovery sanctions would be “unjust”. Not only is the requested amount clearly overreaching for three simple motions to compel, but Plaintiff established that her inability to respond was due to a family emergency. (See Declaration(s) of Plaintiff Simmons¶8.) Therefore, the Court will not order sanctions. *Defendant to give notice.*
106	Lam vs. Robert Mullins International, 24-01438837	Defendant Robert C. Mullins (“Defendant”) demurs to the entire Complaint. The Complaint contains the following six causes of action: (1) breach of contract, (2) negligent misrepresentation, (3) breach of fiduciary duties, (4) breach of implied covenant of good faith and fair dealing, (5) negligent infliction of emotional distress, (6) violation of Business & Professions Code section 17200 et seq. All causes of action are asserted against all Defendants. The Complaint was filed on 11/08/2024. On 08/14/2025, Plaintiffs amended their Complaint to add Robert C. Mullins as Doe Defendant 1. (ROA 51.) Defendant argues that Plaintiffs’ first cause of action for breach of contract fails because Plaintiffs have not alleged a contract between Defendant Robert Mullins and Plaintiffs. Similarly, Defendant argues that the second, third, fourth, fifth, and sixth causes of action fail against Defendant Robert Mullins because Plaintiffs have not alleged any wrongs that Defendant Robert Mullins committed in his individual capacity. The Court agrees. Exhibit A to the operative Complaint is an “IMMIGRATION CONSULTANT SERVICE AGREEMENT” between Robert Mullins International (RMI), called Immigration Consultant,” and Dai Trang LAM, called “client.” Thus, the only contracting parties are Plaintiff Dai Trang Lam and Defendant Robert Mullins International and therefore

		there is no Contract between Plaintiffs and Defendant Robert C. Mullins. The Complaint also lacks any allegations establishing fact sufficient to support and alter ego theory of liability. Importantly, Plaintiff's third cause of action for breach of fiduciary duties, fourth cause of action for breach of implied covenant of good faith and fair dealing, and sixth cause of action for violation of Business & Professions Code section 17200 et seq. all reply on a presupposed a relationship between Plaintiff and Defendant Robert Mullins based on the contract at issue in the Complaint. As discussed, however, no such relationship has been alleged between Plaintiffs and Defendant Robert Mullins. The Complaint also lacks allegations regarding any wrongful misrepresentations or acts causing negligent infliction of emotional distress that were committed by Defendant Robert Mullins in his individual capacity. For the reasons discussed above, Defendant Robert C. Mullins's Demurrer is SUSTAINED in its entirety WITH 20 DAYS' LEAVE TO AMEND. In making this ruling, the Court is mindful that it reached the opposite conclusion in May 2025 as to Defendant Hai Minh Le. Plaintiff may choose to stipulate with Defendant Hai Minh Le as to the following: Plaintiff may amend the complaint as to Hai Minh Le as well, and the answer by Hai Minh Le is stricken and Hai Minh Le may file a new responsive pleading after the amended complaint is filed and served. Alternatively, Defendant Hai Minh Le may file a motion for judgment on the pleadings. The Case Management Conference is continued to August 13, 2026 at 1:30 p.m. *Moving defendant to give notice.*
107	Alvidrez vs. Covetrus Software Services, LLC, 25-01459002	Plaintiff Michael Alvidrez ("Plaintiff") moves for leave to amend his Complaint pursuant to Labor Code section 2699.3 and Code of Civil Procedure section 473 to add a PAGA cause of action. Defendant Covetrus Software Services, LLC ("Defendant") opposes the motion.

		"The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading." (Code Civ. Proc., § 473(a)(1).) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530.) The proposed FAC is attached to Plaintiff's supporting declaration. That declaration also explains the effect of the proposed amendment, when the facts giving rise to the amendment became known, and why Plaintiff did not seek leave earlier. Defendant argues the motion should be denied because Plaintiff has offered no explanation for the failure to seek leave to amend earlier, Plaintiff's pattern of conduct shows bad faith and dilatory motive, and Defendant would be prejudiced if amendment is allowed by having to litigate a new and distinct theory. Plaintiff's counsel has explained that he was under the impression that leave was not required so long as he filed an amended complaint within 60 days of the PAGA notice maturing, which is a reasonable reading of Labor Code section 2699.3(a)(2)(C). Thus, Plaintiff attempted to file an amended complaint in May, shortly after his PAGA notice matured. After those attempted filings were rejected, Plaintiff requested that Defendant stipulate to the amendment. When defense counsel indicated that they would not stipulate on July 22, 2025, Plaintiff filed his first motion for leave to amend on August 11, 2025, which was denied for purely procedural deficiencies. The Court finds no evidence of dilatory motive or delay in this procedural history. Further, Defendant has presented no evidence in support of its claim of prejudice, such as facts regarding the discovery performed thus far. Thus, the Court finds Defendant's arguments unpersuasive.

		In light of the above, the motion for leave to amend is GRANTED. Plaintiff to file and serve his amended complaint within 10 days of the date of this order. The Court sets an Order to Show Cause why the case should not be transferred to Complex for August 13, 2026 at 1:30 p.m. In light of the new PAGA claim, the parties may stipulate to the transfer and the Court upon reviewing the stipulation and entering an order will vacate the August 13, 2026 hearing. *Plaintiff to give notice.*
108	Armstrong vs. DH Dental Employment Services, LLC, 25-01508012	Defendants DH Dental Employment Services, LLC, Kerr Corporation, and Envista Holdings Corporation (collectively, "Defendants"), move this Court for an order (i) compelling arbitration of Plaintiff David Armstrong's ("Plaintiff") claims against Defendants, and (ii) dismissing, or in the alternative staying, further proceedings in this Court pending resolution of this motion and completion of arbitration. Plaintiff started as a Business Analyst in 2010 for Defendants. (Complaint¶9.) Defendant employer asserts that it rolled out a Dispute Resolution Agreement ("DRA") in "on or around September of 2022 using the Workday system". (Decl. of Herold¶4.) The DRA allegedly presented to Mr. Armstrong on the Workday system is attached to the Declaration of Herold at Ex. C. Relevant portions of that Agreement provide: "1. The validity, construction, interpretation, and enforcement of this Agreement shall be governed by the substantive and procedural rules of the Federal Arbitration Act ("FAA"), as the Company operates in interstate commerce. Only a court of competent jurisdiction, and not the arbitrator, shall have the authority to resolve gateway questions of arbitrability as well as the validity of the class, collective, and representative action waiver as set forth in Paragraph 7 of this Agreement. "2. Employee and Company agree to submit all "Claims" (defined in Paragraph 6 below)

		between Employee and Company that may arise out of or relate in any way to Employee's employment with Company, including but not limited to the termination of Employee's employment and Employee's compensation, to FINAL and BINDING arbitration. The arbitration shall be held in accordance with the then-effective Judicial Arbitration and Mediation Services ("JAMS") Employment Arbitration Rules and Procedures ("JAMS Rules") (available online at http://www.jamsadr.com), as the exclusive remedy for such dispute, and not by a lawsuit or resort to court process. Employee can also obtain a copy of the JAMS Rules by contacting hrsupport.us@envistaco.com. "6. Definition of "Claim(s)": Included within the scope of this Agreement and covered by this Agreement are all Claims relating to, arising out of, in connection with, or involving Employee's application for employment, employment or termination of employment with the Company, whether based on tort, express or implied contract, any covenant of good faith and fair dealing, any federal, state, or local statute (including, but not limited to, any claims for discrimination, retaliation, and harassment, wage and hour claims, claims for payment of wages and benefits, and claims for violation of employment rights, whether based on the California Fair Employment and Housing Act, Title VII of the Civil Rights Act of 1964, as amended, the California Labor Code, the Fair Labor Standards Act, the Family and Medical Leave Act, the California Family Rights Act, the Age Discrimination in Employment Act, the Americans with Disabilities Act, or any other federal, state, or local law or regulation), any federal or state constitution and/or any public policy, equitable law, common law, or otherwise. "14. NOTE TO EMPLOYEE: YOU AND COMPANY ARE AGREEING TO HAVE ANY AND ALL CLAIMS THAT ARISE OUT OF YOUR EMPLOYMENT DECIDED BY NEUTRAL ARBITRATION INSTEAD OF A JURY OR COURT TRIAL. THIS ARBITRATION AGREEMENT AFFECTS YOUR LEGAL RIGHTS. YOU MAY WANT TO SEEK LEGAL ADVICE BEFORE ENTERING INTO THIS AGREEMENT. By signing below or by clicking I AGREE in

		Workday, Employee acknowledges that Employee has read, understood, and voluntarily and willingly agrees to be legally bound to the terms of this Agreement. By offering this Agreement, Company is likewise agreeing to be similarly bound." (Decl. of Herold, Ex. C.) *Federal Arbitration Act* The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. Here, the parties do not dispute that the FAA applies. The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT & T Mobility LLC v. Concepcion* (2011) 563 U.S. 333.) The FAA permits agreements to arbitrate to be invalidated by "generally applicable contract defenses, such as fraud, duress, or unconscionability." (Id.) When deciding whether a valid arbitration agreement exists, courts generally apply "ordinary state-law principles that govern the formation of contracts." (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) On a motion to compel arbitration, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) "[T]he party

		resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) *Existence of the Agreement*: "Again, even where the FAA applies, "[i]n determining the rights of parties to enforce an arbitration agreement…courts apply state contract law…" (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236; See also Enmark v. KF Community Care, LLC (2024) 105 Cal.App.5th 463, 477 ["[W]hether a valid arbitration agreement exists is determined by applying California law concerning the formation, revocation, and enforcement of contracts [citation], even if the challenged agreement would fall within the scope of the FAA."]) ""If a party to a civil action asks the court to compel arbitration of the pending claim, the court must determine in a summary proceeding whether an 'agreement to arbitrate the controversy exist.'" (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 754 (Iyere).) ""The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement." (Iyere, supra, 87 Cal.App.5th at p. 755.) "A movant can bear this initial burden 'by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.'" (Ibid., citing Espejo v. Southern California Permanent Medical Group (2016) 246 Cal.App.4th 1047, 1060.) "At this step, a movant need not 'follow the normal procedures of document authentication' and need only 'allege the existence of an agreement and support the allegation as provided in rule [3.1330].' " (Iyere, supra, 87 Cal.App.5th at p. 755, citing Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.)" Here, Defendants appear to have complied with the above requirement by submitting the Declaration of Lianne Herold (a Human Resources Shared Services Lead and Generalist for Envista Holdings Corporation).

		(Decl. of Herold¶1.) As indicated above, attached to her declaration as Ex. C "is a true and correct copy of the DRA presented to Mr. Armstrong on the Workday system." (Id.¶6.) This particular document is not signed. Rather, it appears to be Defendants' contention that pursuant to ¶14 of the DRA Armstrong agreed to arbitration when he clicked "I AGREE" in the Workday system. To that end, Ms. Herold declares: "6…On September 16, 2022, Workday sent out two automated emails to U.S. employees for each of the Defendants, including Mr. Armstrong, alerting them to two different tasks requiring their attention in Workday. The first related to Envista's new U.S. Employee Handbook and the second concerned Envista's DRA… "7. To my knowledge, in order to complete the above tasks in Workday, employees had to be connected to Envista's operating system using their own secure and confidential login password. Once connected on Envista's operating system, the employee could access Workday through single sign-on verification using a hyperlink in the automated emails from Workday. From there, the employee could access their Workday inboxes to view the separate task notification details. The employee could then view the document(s), instructions and acknowledgment statement for each particular task by clicking on the task notification. From there, the employee could complete the task by clicking on the "I Agree" box and then clicking "Submit." Whenever a task is completed, Workday records in an audit trail (i) which specific user account completed the task, and (ii) the date and time the task was completed. Workday maintains these records and no one at Envista has the capability to change the audit trail." (Decl. of Herold ¶¶6, 7.) Ms. Herold further declares that, she has the "capabilities to run reports outlining the date and time any employee of an Envista subsidiary, including Kerr or DH Dental,

		completed a task in Workday. I ran this report for Mr. Armstrong regarding the Workday task concerning the DRA. Attached hereto as Exhibit D is a true and correct copy of this report." (Id. ¶9.) Further, she declares, Armstrong acknowledged the DRA at 5:10 p.m. on September 18, 2022. (Id. ¶10.) Notably, Ex. D is not an acknowledgment of Plaintiff's agreement to the arbitration agreement; but rather, it appears to be a "Workday" report indicating that Plaintiff submitted his electronically checked acknowledgement of receipt of the handbook and DRA. This evidence appears to suffice for the purpose of meeting the prima facie burden of alleging the existence of an agreement. "If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.]" (*Gamboa, supra*, 72 Cal.App.5th at p. 165.) This can be done by testifying under oath or declaring under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid*.) "To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as the authenticity of their signatures. The opponent need to prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. [Citation.]" (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747,755.) In opposition to this Motion, Plaintiff submits his Declaration wherein he states: "4. I have reviewed the Dispute Resolution Agreement attached as Exhibit C to the

		Declaration of Lianne Herold (the DRA). I never saw the DRA until it was provided to me by my attorney in connection "5. I never signed the DRA or agreed to any of its terms, via the WorkDay system or otherwise in September 2022, or at any time before or after. "6. I understand that Envista contends that I electronically acknowledged the DRA on September 18, 2022 at 5:10 p.m. I do not believe that I would have been working at this time, because upon review of a text message with my mother, both my one-year-old daughter and I were sick on September 18, 2022, making it very unlikely that I would have been working this Sunday evening. 10. All legal agreements between myself and Envista were signed by hand or using DocuSign. I never once signed a document that I understood to be a legal agreement with Envista using Workday." (Decl. of Armstrong¶¶4-6, 10.) Mr. Armstrong also testified at deposition that it did not make sense to receive a DRA via Workday "because anything related to someone's employment status was always done through DocuSign if a signature was required or through hard copy with wet signature. That was the only way we were trained as managers, as senior managers, as executives. That was the only way you could execute an agreement was either through DocuSign or wet signature. No other way." (Decl. of Wand¶5, Ex. 1, page 131:15-23.) He also testified that prior to litigation he had never seen the DRA at issue herein. (Id., page173:10-16.) He also testified that he never acknowledged the handbook or the DRA. (Id. page 187:1-5.) While Plaintiff submits other evidence in support of his position that no agreement to arbitrate exists, this evidence suffices to create a factual dispute and shift the burden back to Defendants to authenticate Plaintiff's signature.

		To meet this final burden, on 4/17/2026, Defendants filed two additional declarations: 1. Paulo Poinha (Workday Manager overseeing the administration, configuration, and optimization of the Workday system for Envista, Kerr, and DH Dental, including managing system updates and ensuring data integrity) (ROA 70) 2. Nicholas Guzowski (Paralegal providing support and legal-related functions for Envista Holdings Corporation) (ROA 72) Generally, as to electronic signatures, "Civil Code section 1633.9, subdivision (a), governs the authentication of electronic signatures. It provides that an electronic signature may be attributed to a person if "it was the act of the person." (Civ. Code, § 1633.9, subd. (a).) Further, "[t]he act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Ibid.) For example, a party may establish that the electronic signature was "the act of the person" by presenting evidence that a unique login and password known only to that person was required to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions. (*See Espejo, supra*, 246 Cal.App.4th at p. 1062, 201 Cal.Rptr.3d 318; Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 844, 181 Cal.Rptr.3d 781.)" (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 545.) In the Declaration of Poinha, he explains: "11. Because of my familiarity and experience with the operation and functionality of Workday, I understand the process that employees took in Workday to complete their review of the DRA after receiving notification of its distribution. An employee who received the DRA via Workday was requested by

		Workday's notification email to log into their unique Workday account and navigate to their Workday inbox. To my knowledge, in order to log into their Workday account, employees had to be connected to their Envista account using their own secure and confidential login password that only they had access to. Once connected on their Envista account, the employee could, and would, access Workday through single sign-on verification using a hyperlink in the automated emails from Workday. From there, the employee could, and would, access their unique Workday inboxes to view the separate task notification details. Employees could and still can connect to Workday through their Envista account from any location with a stable internet connection sufficient to permit the use of single sign-on verification. This means that employees could as of 2022, and still can, connect to their Workday account from any accessible mobile devices, such as work computers, and/or personal or work phones, tablets or computers, from their homes or elsewhere. "12… Attached hereto as Exhibit D is a true and correct copy of the DRA task as it appeared in an Envista employee's Workday account. 14. For each employee who received the DRA through Workday in September 2022, including David Armstrong, the particular employee's DRA (i.e. David Armstrong's) could only be accessed by logging into the employee's unique Workday account…. 15... As Workday Manager, I am familiar with the information that Workday tracks, and I am also familiar with how to generate reports reflecting such information. As Workday Manager, I have the capability of generating this type of report for any current or former employee. As part of this case, I generated such a Workday report as to David Armstrong by navigating to Mr. Armstrong's Workday profile, selecting the "Personal" tab, and exporting the "Reviewed Documents" data. Attached hereto as Exhibit F is a true and correct screenshot of Mr. Armstrong's Workday profile depicting the "Personal" tab and the "Reviewed Documents" section from which the data was exported. Attached hereto

		as Exhibit G is a true and accurate copy of the data that was exported from Workday in PDF format, reflecting David Armstrong's acknowledgement of the DRA and Employee Handbook via Workday. "16… The data reflected in the Workday report is populated by the Workday system at the moment that the employee, such as David Armstrong, clicks in the "I AGREE" box and then completes/submits the task by pressing the "Submit" button; it is not manually entered by any individual. Based on my knowledge with Workday reports, Exhibit G shows that David Armstrong on his own acknowledged the DRA by clicking in the "I agree" box and then the "Submit" button via Workday on September 18, 2022, at 5:10 p.m. PST." (Decl. of Poinha¶¶11, 12, 14, 15, 16.) Notably, as to Ex. D, this is allegedly a copy of the DRA task as it appeared to Plaintiff. What is troubling here is that there is no mention of "Arbitration". Rather, there is simply mention of Dispute Resolution Agreement. Plus, one could click on the "I agree" button without reviewing the DRA document. The Declaration of Mr. Guzowski indicates as paralegal he has access to company emails, he declares: "5. In connection with the lawsuit filed by David Armstrong against Envista, Kerr, and DH Dental, I conducted searches for email communications in the Microsoft Purview platform. One search that I conducted was for emails sent from the email account workday.notifications@envistaco.com, which is an email account that generates notifications from Workday (a human resources information system used by Envista, Kerr, and DH Dental), to the email account, David.Armstrong@envistaco.com, which was the unique company-provided email account assigned to and used by Mr. Armstrong during his employment. The display name Attached hereto as Exhibit 1 are true and correct copies of emails that resulted from my search.

		"Attached as Ex. 1 are two emails sent from Envista HR: one relating to "Business Process: To Do: Review Envista U.S. Employee Handbook 20220901:David Armstrong", the second relating to "Business Process: To Do: Review DRA - CA Employees (All Other):David Armstrong"." (Decl. of Guzowski¶5, Ex. 1) This evidence seems to suggest that the DRA email was sent to Plaintiff. While it is unclear if Plaintiff read the DRA, it appears he clicked on the "I AGREE" box. In response to the above, on 5/8/2026 Plaintiff submitted a supplemental brief (ROA 78) as well as a Supplemental Declaration of David Armstrong (ROA 82), and a Supplemental Declaration of Attorney Aubry Wand (ROA 84.) In Plaintiff's Supplemental Declaration he declares, among other things: "12. To be clear, I do not remember signing into Workday at all on September 18, 2022. That Mr. Poinha claims that I signed into Workday during two simultaneous sessions on my work computer (and further that during one session I asked Workday to remember the device and in the other session I asked Workday not to remember the device) makes no sense." (Supplemental Declaration of Armstrong ¶12.) Ultimately, the Court concludes there was insufficient mutual consent here to form a contract. Under California law, "[i]t is essential to the existence of a contract" that (i) the parties are capable of contracting; (ii) the parties mutually consent to the contract; (iii) the contract serves a lawful object; and (iv) there is sufficient cause or consideration. Civ. Code § 1550. Here, there is no evidence that Plaintiff actually signed, electronically or otherwise, an Arbitration Agreement. Plaintiff's signature was not affixed to any document. While

		disputed, it appears if anything, he may have clicked a stand alone "I AGREE" box and submitted that selection in Workday. (Decl. of Poinha, Ex. D). However, asking an employee to click on an "I AGREE" box, without identifying that the employee is agreeing to "ARBITRATION" does not establish a mutual consent to give up his right to a jury or Court trial. For this reason, the Motion is DENIED. The Court does not reach the issue of unconscionability, but notes that the above process appears procedurally unconscionable and full of surprise for the unsuspecting employee, especially considering, "All legal agreements between myself and Envista were signed by hand or using DocuSign. I never once signed a document that I understood to be a legal agreement with Envista using Workday." (Decl. of Armstrong¶10.) OBJECTIONS (ROA 46): Overruled, except as to No. 3 which is sustained. *Plaintiff to give notice.*
109	Aguirre vs. Davita, Inc. 24-01394742	*Continued to 9/10/2026.*
110	East Orange County Water District vs. Performance Pipeline Technologies, 22-01299697	Defendant Performance Pipeline Technologies ("defendant" or "PPT") moves for summary judgment in its favor. In the alternative, PPT asks for summary adjudication of eight issues. Plaintiffs Association of California Water Agencies Joint Powers Insurance Authority and East Orange County Water District ("EOCWD") (together, "Plaintiffs") oppose the motion and alternative motion. The pleadings play a key role in a summary judgment motion and set the boundaries of the issues to be resolved at summary judgment. (*Jacobs v. Coldwell Banker Residential Brokerage Co.* (2017) 14 Cal.App.5th 438, 444.) The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues' " and to frame the outer measure of materiality in a summary judgment proceeding. (*Hutton v. Fidelity National Title Co.* (2013) 213 Cal.App.4th 486, 493.) Thus, the analysis

		begins with the allegations and theories in the complaint – as well as the defenses alleged in the answer because some of the issues relate to some of defendant's affirmative defenses. In the introductory portion of their complaint (ROA 2), plaintiffs allege that plaintiff East Orange County Water District and defendant Performance Pipeline Technologies entered into a written agreement whereby defendant would perform annual pipeline cleaning services to the local sewer systems located in plaintiff's service area. (Complaint, ¶ 10.) Plaintiffs allege that the initial term of the agreement was from August 1, 2016 to June 30, 2017 and that plaintiff had the option to extend the term for two one-year periods. (Complaint, ¶¶ 11 and 12.) Plaintiffs allege that after plaintiff renewed the contract twice, the parties agreed to a six-month extension. (Complaint, ¶ 13.) Plaintiffs allege that the work by defendant Performance Pipeline Technologies was to be performed as set forth in an attachment to the agreement entitled "Scope of Work." (Complaint, ¶ 14.) Plaintiffs allege that, on July 2, 2019, defendant Performance Pipeline Technologies was conducting sewer cleaning services in Tustin when its employees encountered roots and noted a blockage. (Complaint, ¶¶ 15 and 16.) Plaintiffs allege that, instead of immediately contacting plaintiff East Orange County Water District or conducting further investigation of the blockage as required by the contract, the employees continued to attempt to clean the sewer pipeline and complete the task that same day. (Complaint, ¶ 16.) Plaintiffs allege that "[t]he noted blockage caused the pipeline to rupture in another location, resulting in raw sewage entering the home of the Mier family" in Tustin. (Complaint, ¶ 17.) Plaintiffs allege that the Miers were out of town and sewage flowed through the entire residence for a week, resulting in a total loss to the contents of the home. (Complaint, ¶ 18.)

		Plaintiffs allege that, after the incident, plaintiff Association of California Water Agencies Joint Powers Insurance Authority reviewed the contract between co-plaintiff and defendant and determined that defendant failed to follow the sewer line cleaning specifications. (Complaint, ¶ 21.) Plaintiffs allege that plaintiff Association of California Water Agencies Joint Powers Insurance Authority tendered co-plaintiff's defense and indemnity to defendant under the indemnity provision in the agreement. (Complaint, ¶ 22.) Plaintiffs allege that the tender of defense went unaccepted. (Complaint, ¶ 23.) Plaintiffs allege that, as a result of the failure of defendant Performance Pipeline Technologies to notify plaintiff East Orange County Water District of the abnormalities on July 2, 2019, plaintiff covered the damages that were sustained because defendant refused to accept tender of defense and indemnity. (Complaint, ¶ 27.) After making these allegations, plaintiffs set forth five causes of action for: (1) breach of contract; (2) breach of contractual duty to defend; (3) express contractual indemnity; (4) implied contractual indemnity; and (5) negligence. *Issue 1: Whether PPT Breached the Contract* PPT's first issue concerns the first cause of action for breach of contract, in which plaintiffs allege that PPT was to perform work according to the Scope of Work attachment to the agreement and that it failed to perform those obligations. (Complaint, ¶¶ 31, 32, 33, and 34.) PPT contends that the sole claimed breach is PPT's failure to notify EOCWD by phone and email of the blockage—not any deficiency in PPT's cleaning work. (UMF 11.) The Scope of Work contains notification provisions in Sections C and I. (UMF 1-2.) Section C, entitled "Sewer Cleaning Procedures" requires PPT to contact EOCWD by phone and email if any abnormal conditions are encountered, and all observations are to be noted on the tablet computer and entered into SEDARU. (PPT Exh. A at p.2.) Section C specifies that

		abnormal conditions could be caused by defects such as heavy roots. (PPT Exh. A at p.2.) Section I, entitled "Spill Reporting and Handling" requires PPT to immediately notify EOCWD of any non-Contractor related spills and/or any abnormal conditions in the sewers of manholes. Section I also specifies: "[t]his also includes surcharging discovered by the Contractor during their normal work. (PPT Exh. A at pp. 5-6.) PPT contends it did not breach the notice provisions because, although Mike McCusker encountered a surcharge (backup) at manhole 1130 on July 2, 2019, he did not observe any emergency condition or overflow at the surface. (UMF 4.) Further, PPT presents testimony that McCusker successfully cleared the blockage and relieved the surcharge that day. (UMF 5.) PPT also entered notation in the Sedaru system regarding the surcharge on that date. (UMF 12.) In opposition, Plaintiffs raise triable issues of fact as to whether notice by way of the Sedaru system was sufficient to comply with the terms of the contract. The contract is ambiguous as to the method by which PPT is to notify EOCWD of "surcharging discovered by the Contractor during their normal work" as referenced in Section I. PPT contends EOCWD directed PPT at a preconstruction meeting that the preferred method of communication for reporting conditions encountered during cleaning was through the Sedaru software. EOCWD raises triable issues as to whether such a meeting occurred, what the expectations were, and whether anyone who allegedly attended the meeting on behalf of EOCWD would have authority to orally modify the agreement. (UMF 7 and Pl. Response to UMF 7; Pl. AMF 6-9.) Further, PPT has not presented any material fact indicating that the surcharge was outside the scope of the notification requirements of Section I. (See UMF 13 (addressing Section C only).) Accordingly, summary adjudication of Issue 1 is DENIED.

		Issue 2: Whether PPT's Conduct was a Substantial Factor in Causing Harm PPT's second issue asks for a determination that Plaintiffs' first cause of action for breach of contract fails because Plaintiffs cannot establish that PPT was a substantial factor in causing the damage to the Miers residence. The declarations and evidence offered in opposition to the motion must be liberally construed, while the moving party's evidence must be construed strictly, in determining the existence of a "triable issue" of fact. (D'Amico v. Board of Med. Examiners (1974) 11 Cal.3d 1, 21.) In support of this issue, PPT relies, in part, on the opinions of its retained expert, Jerry Miles. However, Miles' opinions are based, in part on, inadmissible case specific hearsay contained in the Sedgwick Report. (See *People v. Veamatahau* (2020) 9 Cal. 5th 16.) This report was apparently prepared by a third party claim adjuster and its contents do not fall within any hearsay exception. It is not, as PPT contends, a party admission. Further, PPT has not authenticated the report. The attempt by counsel to authenticate the document by declaring the report "a true and correct copy of the Sedgwick Claims Adjuster Report, produced by Plaintiff in discovery and Bates-stamped EOCWD 000058-91" is insufficient. (See PPT Exh. H, Rayfield Decl. ¶ 13.) Thus, because PPT cannot establish its material facts Nos. 25 and 33, PPT has not met its burden as to this issue. Further, even if the Court were to consider the opinions that are based on the Sedgwick report, Plaintiffs have raised triable issues of fact. Plaintiffs submit testimony from EOCWD Operations Supervisor Justin Davis, who testified that he is experienced with two residential spills. Davis further testified that when the topography of the area involves hills and slopes, and a surcharge event is observed, it is major cause for concern which would cause him to investigate further. (Davis Depo. at 96:19-99:2) He also testified

		that when there is a surcharge on a steep incline hill you have to be careful because sewage can enter someone's home if they don't have a backflow device. (Davis Depo. at 73:12-22.) Plaintiffs submitted evidence that Mike McCusker, the PPT representative who handled the work at issue, testified that he saw a surcharge. (Pl.'s AMF 11.) Accordingly, summary adjudication of Issue 2 is DENIED. *Issue 3: Whether PPT Exercised Reasonable Care* PPT's third issue asks for a determination that Plaintiffs' fifth cause of action for negligence fails because PPT exercised reasonable care in its cleaning operations. Plaintiffs have raised triable issues of fact as to this issue. PPT includes as a material fact that PPT returned to the site with a root saw to ensure the pipe was completely clear of roots. (UMF 37.) In opposition, Plaintiffs present evidence that there is no documentation of this in PPT's internal notes, and no evidence of "tick marks" on the pipe. (Pl.'s response to UMF 37.) Additionally, Plaintiffs have raised triable issues as to PPT's material fact No. 40, regarding Miles' opinion that PPT followed both industry standards and the contract's Scope of Work Requirements. Miles testified in deposition that he did not take into consideration Section I of the contract's definition of surcharge. (UMF 40 and Pl.'s response to UMF 40.) Accordingly, summary adjudication of Issue 3 is DENIED. *Issue 4: Whether PPT's Conduct was a Substantial Factor in Causing Harm* PPT's fourth issue asks for a determination that Plaintiffs' fifth cause of action for negligence fails because, even assuming negligence, the undisputed evidence establishes that PPT's conduct was not a substantial factor in causing Plaintiff's damages.

PPT relies, in part, on UMF 33, discussed above in connection with Issue 2. As discussed above, this fact relies on inadmissible case specific hearsay and, further, Plaintiffs have raised triable issues of fact.

Summary adjudication of Issue 4 is DENIED.

Issue 5: Whether PPT's Contractual Duty to Defend was Triggered

PPT's fifth issue asks for a determination that Plaintiffs' second cause of action for breach of duty to defend fails because the contractual indemnification provision was not triggered where Plaintiff's damages were not caused in whole or in part by any negligent act or omission of Defendant.

As discussed above in connection with Issue 2, Plaintiffs have raised triable issues of fact as to whether Plaintiffs' damages were caused by a negligent act or omission of Defendant. (See also Pl.'s response to UMF 51.)

Summary adjudication of Issue 5 is DENIED.

Issue 6: Whether PPT's Contractual Indemnity Obligation was Triggered

PPT's sixth issue asks for a determination that Plaintiffs' third cause of action for contractual duty to indemnify fails because the contractual indemnification provision was not triggered where Plaintiff's damages were not caused in whole or in part by any negligent act or omission of Defendant.

Summary adjudication of Issue 6 is DENIED for the same reasons discussed above in connection with Issues 2 and 5.

Issue 7: Whether the Contract Precludes the Claim for Equitable Indemnity

PPT's seventh issue asks for a determination that Plaintiffs' fourth cause of action for implied contractual indemnity fails because (a) the express indemnity provision precludes any claim for implied indemnity, and (b)

		Defendant did not breach any duty that caused Plaintiffs' liability. PPT again relies, in part, on Miles' testimony as set forth in UMF 33. For the reasons discussed above in connection with Issue 2, this is insufficient to meet PPT's burden and Plaintiffs have raised triable issues of fact. Further, PPT's reliance on *E. L. White, Inc. v. City of Huntington Beach*, is misplaced. (*E. L. White, Inc. v. City of Huntington Beach* (1978) 21 Cal.3d 497.) While the case does stand for the proposition that "when parties by express contractual provision establish a duty in one party to indemnify another, the extent of that duty must be determined from the contract and not from the independent doctrine of equitable indemnity," the existence of an express indemnification agreement is not an absolute bar to implied indemnity. (*Id*. at 508.) The court also held that "[w]hen, however, the duty established by contract is by the terms and conditions of its creation inapplicable to the particular factual setting before the court, the equitable principles of implied indemnity may indeed come into play." (*Ibid*.) Thus, it is premature at this stage, where there are still facts in dispute, to conclude that the express indemnification agreement preempts any potential right to implied indemnity. Accordingly, summary adjudication of Issue 7 is DENIED. *Plaintiffs' Objections*: Plaintiffs' Objections Nos. 1-4, 6, 8-17, 19-23, 25, and 27-28 to the Declaration of Jerry Miles, P.E. are OVERRULED. Objections Nos. 5, 7, 18, 24, 26, and 29 are SUSTAINED on the grounds that these opinions rely on case specific hearsay evidence (the Sedgwick report). As stated in PPT's opening brief, the Sedgwick report was prepared by a third party claim adjuster. It is therefore not, as PPT contends, a party admission within the meaning of Evidence Code §1220. (See *People v. Veamatahau* (2020) 9 Cal. 5th 16.)

		Plaintiffs' Objections Nos. 30-33 to the Declaration of Mike McCusker are OVERRULED. Plaintiffs' Objections No. 34-36 to the Declaration of Jamison Rayfield are OVERRULED. Objection No. 37 is SUSTAINED for lack of authentication. *Defendant's Objections*: Defendant's Objection No. 1 to Exhibit 4 to the Declaration of Mariel Covarrubias (Sedaru Notes, EOCWD Bates Nos. 001136 et seq.) is SUSTAINED for lack of authentication. Defendant's Objection No. 2 to the use of the deposition testimony of Justin Davis (Exhibit 2 to Covarrubias Decl.) as expert opinion is OVERRULED. The Court declines to rule on the remainder of the objections as they are not material to the disposition of this motion. (CCP §437c(q).) *Defendant to give notice*.